



According to the RBI's new ECB guidelines, the cost of borrowing will now be in line with prevailing market conditions.

fallen over the last year, as the world navigated geopolitical and trade-related uncertainties. The decline in interest rates has been one reason behind the pick-up in borrowing via ECBs, say analysts. It is expected that interest rates overseas could see a further decline, with the likes of the US Fed and the Bank of England expected to cut rates further in 2026. Back home, the RBI is expected to keep rates on hold now.

"In a regime where international interest rates are coming down, you are now giving companies more scope to borrow. So, ideally, it (revised norms) should lead to higher overseas borrowing," says Madan Sabnavis, chief economist at Bank of Baroda.

While there is now a sharper

regulatory clarity with the revised guidelines, the amendments ensure enough guardrails to ensure external borrowings are going towards productive use cases and not speculative investments. "Some of these things, like chit funds or anything to do with the capital market, are speculative. So, they don't want you to use the funds for speculative purposes; in a way, the RBI is ring-fencing the borrowings. But whatever is meant for productive purposes has been permitted," he says.

Close to \$61 billion was raised via ECBs in FY25. Analysts expect these revised guidelines to increase fundraising via ECBs over the next year. **BT**

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RBI announced a major overhaul of external commercial borrowing guidelines

Borrowers can now raise ECB up to \$1 billion from \$750 million earlier

Eligible borrowers can raise the minimum ECB maturity period to three years

Experts say move opens significant avenues for large, better leveraged firms

Fundraising via ECBs could get a boost, but currency depreciation is a risk

